EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Sanchez Mira is a third class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a *visita* of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2021 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Highlights of Financial Information

The highlights of the financial position, financial performance, appropriation, allotments and obligations of the Municipality of Sanchez Mira, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase/ (Decrease)
Financial Position			
Assets	482,463,140.96	497,222,249.12	(14,759,108.16)
Liabilities	67,384,348.98	86,777,255.59	(19,392,906.61)
Government Equity	415,078,791.98	410,444,993.53	4,633,798.48
Financial Performance			
Income	146,088,506.73	147,279,611.95	(1,191,105.22)
Expense	137,667,602.58	118,361,955.26	19,305,647.32
Appropriations, Allotments and Obligation			
Appropriations	173,774,000.31	153,070,582.36	20,703,417.95
Allotments	173,774,000.31	153,070,582.36	20,703,417.95
Obligations	134,014,557.65	133,578,260.02	436,297.63

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered an **Unmodified Opinion** on the fairness of the presentation of the financial statements of the LGU of Sanchez Mira, Cagayan as at December 31, 2021.

D. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **Due to National Government Agencies amounting to ₱1,425,765.34 for different projects and programs implemented by the Municipality remained dormant for several years and were not returned to the source agencies, despite completion of the programs/ projects, thus, deprived the national government of available resources that could be used for other priority programs, projects and activities, contrary to Section 4 of COA Circular No. 94-013 dated December 13, 1994.**

   We recommended that the Management immediately return to the source NGAs the idle funds aggregating to ₱1,425,765.34, pursuant to Section 4 of COA Circular No. 94-013 dated December 13, 1994, and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012, on the submission, and liquidation of fund transfer received from National Government Agencies.

2. **Procurement of supplies and materials totaling to ₱5,400,508.53 were recognized as outright expenses instead of recording the same in the appropriate inventory accounts, contrary to pertinent provisions of The New Government Accounting Systems for Local Government Units, hence safeguards thereon were not adequately undertaken.**

   We recommended, pursuant to Sections 114, 118 and 121 Volume 1 of the New Government Accounting Systems for LGUs, that the Management set up the proper safeguards on various supplies, drugs and medicines by requiring:

   a. The General Services Officer to maintain stock cards for inventories received, to issue Requisition and Issue Slip for the issuance of inventories and prepare and submit to the Municipal Accountant the required Summary of Supplies and Materials Issued.

   b. The Municipal Accountant to maintain a Supplies Ledger Card for each specific type of Inventory.

c. The periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

3. **Insurance of government properties were recognized as outright expenses, which resulted to overstatement of the Insurance Expense account amounting to ₱1,146,456.29, which is contrary to the Accrual Basis of Accounting.**

We recommended that the Management:

a. Require the Accountant to make the necessary adjusting entry to recognize the expired portion of the Insurance on a monthly basis.

b. Make the necessary adjusting entry to correct the Financial Statements as of a given date.

c. Advise the Accountant to strictly adhere to existing applicable accounting and auditing rules and regulations.

E. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the four (4) audit recommendations in the prior year's report, three (3) were implemented and one (1) was partially implemented.